GREATER CINCINNATI INSURANCE CONSORTIUM (GCIC)
Spousal Coordination of Benefits (COB) Rule

Your district's health plan is sponsored by GCIC. The objective of Spousal COB rule is to require other employers to be the primary payor of their own employees' health insurance claims, but not remove the spouse from the district's plan. Your spouse may remain on the district's plan and receive secondary coverage through coordination of benefits (COB), as applicable. With secondary coverage COB, the spouse will have the same level of benefits as any other covered person on the district's plan. *This applies to spouses eligible to participate, as a current employee, self-employed individual (other than a sole proprietor) in a business or organization (e.g. partner, member), or retiree in a group health and/or prescription drug insurance plan sponsored by his/her employer, business, organization, or retirement plan.*

Frequently Asked Questions

1. What is Spousal Coordination of Benefits (COB)?

Spouses of district employees who are eligible for health and/or prescription drug insurance coverage from their own employer and meet specified criteria, as described in the district's Spousal COB language located on the back of the Spousal COB Certification form, must enroll in single coverage effective January 1, 2014 with their own employer. Employees enrolling in the district health plan must certify whether or not their spouse is eligible for coverage through their own employer.

2. Are there any exceptions to Spousal COB?

Yes, your spouse is EXEMPT if he/she:

- Is not employed;
- Is retired and eligible for [1]Medicare;
- Is not eligible for coverage under his/her employer's plan;
- Is employed by another district sponsored by GCIC;
- Works less than 20 hours per week AND is required to pay more than 50% of the single premium or funding rate*;
- Is employed by an employer with less than 20 employees (includes full-time and full-time equivalents) AND is [1]Medicare eligible.

**This exception does not apply to group retirement plans. If a spouse is eligible for a group retirement plan such as SERS or STRS and is NOT [1]Medicare eligible, the spouse must enroll in their group retirement plan as primary and may continue coverage under the district's plan as secondary.*

3. What if my spouse is self-employed?

If your spouse has coverage available through his or her company, he/she must enroll in that coverage.

4. If my spouse is eligible for health/prescription drug coverage through his/her SERS or STRS retirement plan or disability benefit, is he or she required to enroll in that plan?

Yes, unless your spouse is also [1]Medicare eligible.

5. Rather than my spouse enrolling into his/her employer's plan or group retirement plan as primary, can he/she purchase a separate plan?

No, your spouse must enroll in his/her employer sponsored plan or group retirement plan as primary. If your spouse would like to purchase another plan rather than enroll in their employer's plan or group retirement plan, they are not eligible to enroll in the district's plan.

6. **If my spouse is disabled, is he/she still required to enroll in his/her employer's coverage?**

   Yes. If your spouse meets the eligibility requirements of his/her employer's plan, he/she is required to enroll in their employer's coverage.

7. **Does the Spousal COB requirement apply if the spouse is on Medicare?**

   If [1]Medicare is the ONLY source of coverage, then the Spousal COB requirement does not apply. If the spouse is on [1]Medicare and actively at work for an employer that offers health coverage and has more than 20 employees (full-time and full-time equivalents) then the Spousal COB requirement does apply.

8. **What if my spouse is a partner for a firm or is an LLC associated with a firm?**

   If your spouse is working as a partner for a firm, or is an LLC associated with a firm, and that spouse is eligible to participate in his or her associated firm's health and/or prescription drug coverage (as partners or LLCs associated with that firm), the Spousal COB requirement applies unless the spouse is working less than 20 hours AND must pay more than 50% of the single premium.

9. **What happens if my spouse's employer's annual open enrollment period doesn't coincide with my effective date of coverage under the GCIC District's plan?**

   The district's spousal COB language states that if your "spouse is eligible to participate in group health insurance and/or prescription drug insurance, the spouse must enroll in such employer-sponsored group insurance coverage(s)… Any spouse who fails to enroll in any group insurance coverage sponsored by his/her employer, as required by this Section, shall be ineligible for benefits under such group insurance coverage sponsored by GCIC."

   In compliance with federally mandated HIPAA requirements, your spouse's employer's plan must allow your spouse to enroll in their plan since your spouse will lose the district's coverage if he or she fails to enroll in his or her employer's plan which creates a qualifying event.

10. **How will my district know if my spouse *has* coverage available through his/her employer?**

    If you elect family coverage and wish to cover your spouse, you will be required to complete a certification form. Your spouse's employer must certify availability of coverage.

    If you submit false information on this certification, or fail to timely advise the district of a change in your spouse's eligibility for employer-sponsored group health and/or prescription drug insurance, and such false information or such failure by you results in the district providing benefits to which your spouse is not entitled, you will be personally liable to the district for reimbursement of benefits and expenses, including attorneys' fees and costs, incurred by the district. Any amount to be reimbursed by you may be deducted from the benefits to which you would otherwise be entitled. In addition, your spouse will be

terminated immediately from the district's group health and/or prescription drug insurance coverage.

If you submit false information, you may be subject to disciplinary action, up to and including termination of employment.

11. Does this language affect my children's coverage?

No. This language does not affect coverage for your eligible children. It applies only to your working spouse. If both employee and spouse choose to elect family coverage and cover their children, standard coordination of benefit rules will apply.

12. Is the implementation of Spousal COB a qualifying event that allows us to add dependent children onto our plan at this time?

No.

13. If my spouse loses his/her job, or another "qualifying event" occurs causing the loss of his/her primary coverage, is there a waiting period before my spouse is eligible to receive primary coverage from my district's health care plan?

Coverage under the district's plan will become primary immediately upon loss of the other coverage.

14. Does the Spousal COB requirement mean that the district may still provide health care coverage for my spouse?

Yes. If your spouse is enrolled in their own employers' health/prescription drug plan, the district will provide your spouse with secondary coverage under the district's plan. Your spouse's employer's plan will be responsible for the initial processing and payment of claims in accordance with the spouse's plan. Any unpaid balances may then be submitted to the district's plan for processing under Coordination of Benefits. A spouse with primary coverage will receive the same level of benefits as any other covered member on the district's plan.

15. What if my spouse's plan is a Health Savings Account (HSA) compatible plan?

To be eligible to contribute pre-tax dollars into an HSA, an individual must be covered by a HSA-qualified High Deductible Health Plan (HDHP) and cannot be covered by other health insurance that is not an HDHP. This means that your spouse will need to decide whether:

i. he/she wants to enroll in a HDHP *and contribute* (and/or allow his/her employer to contribute) pre-tax dollars into an HSA; ***or***

ii. he/she wants to enroll in a HDHP *without contributing* to the HSA and elect secondary coverage thru the district's plan.

THE IRS DOES NOT ALLOW BOTH.

You may refer to the following US Department of the Treasury website for more details: http://www.treasury.gov/resource-center/faqs/Taxes/Pages/Health-Savings-Accounts.aspx.

16. Please explain the "rules" of Health Coordination of Benefits (COB).

For a complete explanation of the COB processing rules, please refer to your Benefit Booklet. Please keep in mind, to receive the highest level of benefit coordination you must use Network providers on the district's plan.

17. Please explain the "rules" for Prescription Drug Coordination of Benefits (COB)?

Coverage will be coordinated at the pharmacy. Your spouse will be required to show the pharmacy his/her primary carrier ID card and pay the copay for the primary insurance carrier at the time the prescription is filled. If the copay for your secondary coverage is less, you may file a paper claim with the secondary carrier and receive reimbursement for the difference. For example, if the copay for the primary insurance carrier is $10 for a generic drug and the copay for the secondary insurance carrier is $5 for a generic drug, then the secondary carrier will reimburse the member $5.

Important Note: There are some large prescription drug retailers that can process coordination of benefits at the point of sale, making a paper claim unnecessary. Check with your local pharmacy.

18. Assume a spouse's plan does not cover a procedure, but the district's plan does; will the services be covered under the district's plan? If so, how much will be paid?

The claim must first be submitted to the primary insurance carrier. If denied, then the claim and denial (EOB) can be submitted under the secondary district plan for processing. The payment will be based on the district's plan benefits and would be subject to any deductibles, copayments or applicable coinsurance, exclusions or limitations. Again, the spouse would receive the same benefit as any other covered member on the district's plan.

19. Does the Spousal COB language apply to the district's dental or vision plans?

No.

20. If my spouse has secondary coverage under my district's plan, can he/she continue to take advantage of special wellness or care management programs offered by the district's plan or insurance carrier?

Yes, your spouse is still covered by the district's plan and eligible to participate in any special program offered.

[1]This material does not address those individuals who are Medicare eligible due to End Stage Renal Disease (ESRD). Please consult the Medicare & You Guide or your local Medicare Office for further information.

This analysis is an outline of the coverages proposed upon the information provided by your company. It does not include all the terms, coverages, exclusions, limitations, and conditions of the actual contract language. See the policies and contracts for actual language. This frequently asked questions document is not a contract and offers no contractual obligation on behalf of GBS. Policy forms for your reference will be made available upon request.